

Other Post Employment Benefit (OPEB) Funding Policy

The purpose of this Other Post-Employment Benefits (OPEB) Funding Policy is to establish the funding objectives and strategic framework for Loudoun County Public Schools (LCPS) in relation to the Retiree Healthcare Plan (the Plan). This policy is intended to ensure that sufficient financial resources are available to meet the future benefit obligations of Plan participants while maintaining the fiscal integrity of the Plan. It also aims to ensure that employer contributions are adequate to fully fund the Plan's current-year obligations.

In addition to defining the funding strategy, this policy provides guidelines for the consistent and transparent administration of the Plan. If any provision of this policy conflicts with applicable local or state law, the provisions of the governing law shall take precedence.

A. Definitions.

1. OPEB. OPEB refers to non-pension benefits provided to eligible former employees and their dependents following separation from service and includes, but is not limited to, insurance programs such as medical, prescription drug, dental, and/or vision, where funding for these benefits is held in the LCPS OPEB trust.

2. Actuarially Determined Contributions (ADC). The ADC represents the amount needed to fund the annual benefit cost and the amortization of the unfunded actuarial accrued liability.

3. Unfunded Actuarial Accrued Liability (UAAL). The Actuarial Accrued Liability is the portion not covered by the plan's current assets.

B. General Guidelines.

The OPEB Fund shall be financed through contributions from the County, premiums paid by retirees, and premiums paid by LCPS. These funds shall be used exclusively to provide retiree benefits in accordance with applicable laws, regulations, and plan provisions, ensuring the financial sustainability and proper administration of the OPEB Fund. The primary objective of this policy is to accumulate sufficient assets to meet future benefit obligations in a structured and fiscally responsible manner over the active service period of eligible employees.

1. The OPEB trust funds shall be invested and administered solely in the interests of the active and former employees (and their dependents) entitled to post-employment benefits other than pensions covered by the Fund.

2. The OPEB trust funds shall be managed to maintain long-term financial stability, with LCPS making contributions to the Plan to ensure full funding of future

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costs for retiree medical, dental, vision, and prescription insurance. LCPS funds the Plan through the annual budget appropriations process with the County of Loudoun.

3. The County of Loudoun has established the OPEB Investment Committee in accordance with Virginia Code Section 15.2-1547. Per the Code, the required members are the County Chief Financial Officer, County Treasurer, and a qualified public citizen with proven integrity, business ability, and demonstrated experience in cash management and in investments. Additional members the County has added include the LCPS Superintendent, or the Superintendent's designee, the County Finance, Government Operations, and Economic Development Committee Chair, and a representative from the Loudoun County School Board (i.e., the Committee Chair of the School Board's Finance and Operations Committee.

C. Funding Guidelines. Funds are allocated through the annual budgeting process and require approval from both the Loudoun County School Board and Loudoun County Board of Supervisors.

1. Obtain an ADC at least every two years to serve as the basis for the contribution to the Plan.

a. The contribution reflects the sum of the current OPEB costs and the amortization of the UAAL as of the valuation date.

2. Contributions toward current-year obligations (claims) will be made in regular monthly installments to promote consistency and financial stability.

3. If the current year funded ratio exceeds 100%, the School Board will evaluate and consider adjusting contribution levels for future years, in coordination with the County of Loudoun.

4. Once the funded ratio reaches at least 70%, the School Board may consider using the Plan assets to help offset monthly claims.

5. If the funded ratio falls below 70%, the School Board will evaluate the need to increase contributions as part of the annual budget to restore the ratio to at least 70% within five years.

6. Contributions to the Plan are expected to be made in regular quarterly installments and reported to the School Board, supporting transparency and predictability in financial planning.

Adopted: 5/12/2026

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Legal Ref.: Code of Virginia, 1950, as amended, § 15.2-1544, 15.2-1547

Cross Refs: [Policy 7628](#), Retirement Benefits